July 29, 2026 03:50 AM GMT

Seagate Technology | North America

F4Q26 Earnings – Differentiating From The Pack

WHAT'S CHANGED		
Seagate Technology (STX.O)	From	To
Price Target	$1,035.00	**$1,187.00**

AlphaSignals Earnings Reaction

Strengthens our thesis	**Meaningful upside**	**Meaningful revision higher**
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

As expected, pricing is the key factor driving better than expected revenue, margins, EPS and FCF in June/Sept, with more pricing upside to come. Demand visibility/duration is also improving, and we see several qtrs of accelerating rev growth ahead. We're buying any rotation-based/factor weakness.

Key Takeaways

- Against high expectations, STX delivered a strong June Q and an even better-than-expected Sept Q guide.
- Visibility on demand continues to broaden (more customers) and elongate (capacity booked into CY28), supporting clear signs of cycle durability.
- Strengthening pricing trends (+25% Y/Y in Sept Q vs. +10% Y/Y in June Q) align with our bullish early-June checks, and should accel further in CY27.
- CY27 EPS to $59.33 (66% above Street EPS of $35.75), while PT increases to $1,187 on an unchanged 20x multiple (or 10x base case peak EPS).
- Clear positive read to OW-rated WDC earnings next Wednesday, though the bar is now higher into WDC print (pricing and GM guide the KPIs for next Wed).

For more details on our latest HDD market views, please see IT Hardware: HDDs – The Next Leg Higher (15 Jun 2026) and Hard Disk Drives: F4Q26 Earnings Preview – Reigniting The Bull Case (27 Jul 2026)

Relative to other AI capex sub-markets, HDDs continue to differentiate themselves. While broader questions around the direction of interest rates, hyperscaler credit spreads, capex funding needs, and AI ROIC continue to plague "AI capex winners", what is increasingly clear to us is that STX – and HDDs more broadly – is showing differentiation vs. other parts of the AI capex basket. For example, not only is demand showing clear signs of durability, but it is also accelerating, helping STX to secure nearly all nearline capacity into CY28 (vs. "through CY27" last quarter), with pricing growth that is only just starting to accelerate, and incremental margins also improving (83% vs. 72% last quarter, all vs.

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Seagate Technology (STX.O, STX US)
Top Pick

IT Hardware | United States of America

Stock Rating	**Overweight**
Industry View	**Cautious**
Price target	**$1,187.00**
Shr price, close (Jul 28, 2026)	$747.30
Mkt cap, curr (mm)	$174,964
52-Week Range	$1,145.00-138.30

Fiscal Year Ending	06/26	06/27e	06/28e	06/29e
EPS ($)**	15.59	41.89	80.11	103.75
Prior EPS ($)**	14.91	35.38	70.64	91.28
EPS ($)§	14.90	28.14	45.43	51.24
P/E	61.9	17.8	9.3	7.2
Div yld (%)	0.3	0.4	0.4	0.4
ModelWare EPS ($)	15.59	41.89	80.11	103.75

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS ($)

Quarter	2026	2027e Prior	2027e Current	2028e Prior	2028e Current
Q1	2.61	6.11	7.50	13.89	15.89
Q2	3.11	7.73	9.39	16.31	18.54
Q3	4.10	9.60	11.21	18.71	21.16
Q4	5.71	11.99	13.85	21.92	24.75

e = Morgan Stanley Research estimates

52.7% reported GM). And while expectations coming into earnings tonight were high, the Sept Q EPS guide of $7.30 was well-above buyside expectations (and 25% above Consensus), especially considering STX has beat their EPS guide by 70c each of the last 2 quarters. Given these factors, we can't help but believe that once broader market concerns are addressed / de-grossing in AI capex names subsides, STX/HDDs will be the first to catch a bid. Post-earnings we now model CY27 EPS of $59.33 (bull case of $75.70) and CY28 EPS of $91.93 (and bull case of $137.73), which on an unchanged 20x P/E multiple, supports our new $1,187 PT ($1,665 bull-case valuation). STX remains our Top Pick in IT Hardware.

What we learned from F4Q26 earnings/conference call/callback:

(+) Demand trends continue to strengthen and broaden, improving the durability of growth/margin expansion. The most important takeaway from the call, in our view, is that STX's demand visibility is not only extending, but also broadening across use cases and customer types. Mgmt now sees the vast majority of nearline EBs allocated into CY28, vs. "through CY27" last quarter, and customers are increasingly trying to extend planning horizons into 2029 and beyond. STX is seeing demand from existing cloud and enterprise infrastructure, higher data retention/reuse, agentic AI workloads that require more persistent context, and early signs of incremental demand from neoclouds, model developers, robotics/autonomous systems, and other physical AI applications. In other words, AI is becoming a larger demand driver, where more unstructured data is created, stored, reused, and monetized over time. On supply, STX didn't raise its mix-driven 25% nearline EB CAGR commentary, but continues to emphasize that it's achievable without adding unit capacity. Net-net, HDDs remain one of the cleaner durability stories in AI infrastructure – demand visibility is extending, the customer base is widening, and the margin algorithm is improving as STX continues to shift towards higher capacity drives with consistent pricing strategy.

(+) As expected, pricing was the key x-factor this quarter, and our callback clearly implies our recent checks are directionally correct. Whether the supply/demand imbalance was tight enough to drive a (significant) step-up in pricing was the key debate coming into the quarter. The answer is clearly yes. Gross margin expanded to 52.7% in June from 47.0% in the prior quarter, and the September guide implies gross margin of ~57.5%, with mgmt pointing to favorable pricing, stronger mix, improved execution, and better cost/yield performance through product transitions. STX reiterated that its strategy has been consistent for the last 12-13 quarters, but the gap between supply and demand has widened, incremental output is being priced at attractive levels, and customers are "chasing" additional volume. Mgmt acknowledged that pricing is getting better in general, and if the supply/demand gap continues to widen, STX expects to keep executing the same upward-bias pricing strategy. Mgmt also clarified that the September pricing uplift is not primarily a one-off benefit from a preferential HAMR customer price rolling off, as that volume was minimal in June. Instead, the bigger driver is broad-based demand strength, with stronger Q/Q pricing escalators embedded in contracts and non-nearline pricing also contributing, especially in lower-capacity products that compete with rising NAND pricing.

(=) Targeting a further de-leveraging in Sept/Dec Q's, while also ramping

buybacks into CY27. Mgmt is sequencing de-leveraging ahead of a more aggressive capital return framework. STX expects to reduce debt by ~$1.2B in the September quarter, which includes $1B of high-yield senior notes already extinguished in July and the remaining $186M convert. Mgmt also flagged one remaining high-interest note it would like to address in the near future, potentially in F2Q27 or F3Q27. More importantly, mgmt made clear that once the high-cost debt work is largely complete, almost all FCF should go back to shareholders through dividends and buybacks, with the “vast majority” likely allocated to buybacks. STX is already stepping up buybacks in the September quarter vs. June and prior quarters, and mgmt suggested investors should see a further step-up into F2H27. Meanwhile, FY27 capex should remain within the 4-6% of revenue model, with quarterly opex staying roughly flat ~$300M through FY27, and mgmt expects sequential margin and cash flow improvement throughout the year. All this should set up an increasingly shareholder-friendly CY27: meaningfully higher buybacks as debt falls, while dividend could also be modestly higher as STX's profitability improves further.

Risk Reward – Seagate Technology (STX.O) **Top Pick**

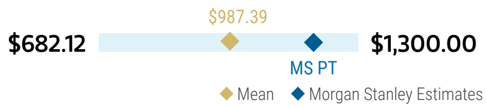
Once in a Generation Data Center Buildout and Tech Leadership Supports OW Rating

PRICE TARGET $1,187.00

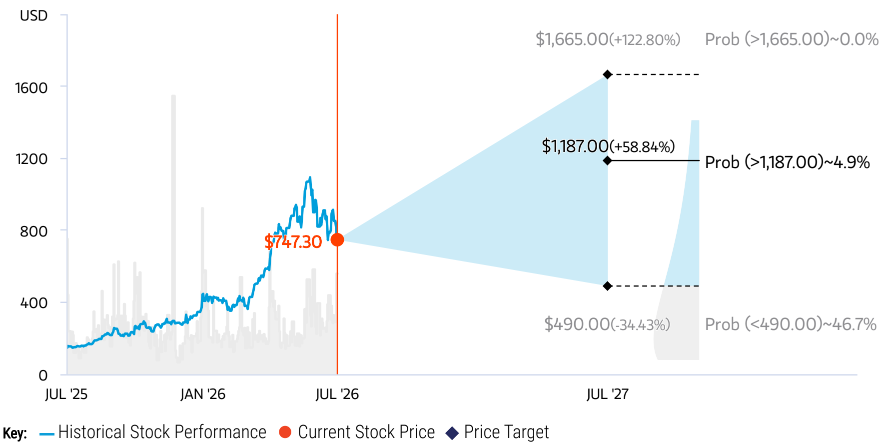
Our PT implies 20.0x our CY27 EPS of $59.33, as we expect earnings upward revisions by the Street with shares trading 6.0x turns above the peak multiples in the previous industry upcycle.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

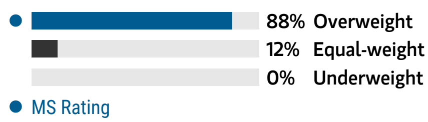


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 28 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

OVERWEIGHT THESIS

STX benefits from accelerating data growth, which drives storage demand in the cloud and on-prem. We are entering a period of AI-driven storage demand growth, benefitting both HDDs and flash shipments. We believe the HDD industry supply discipline has made the industry more profitable, and that HAMR and STX's cost/pricing actions will provide a tailwind to the company's gross margin profile in the long term, which continues to be underestimated by the market. Combined with opex discipline, we expect a decent multi-year earnings story ahead. As a result, we are Overweight rated on STX.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era:	*Positive*
Pricing Power:	*Positive*
Technology Diffusion:	*Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $1,665.00

22.0x CY27 Bull-case EPS of $75.70

Cloud storage demand surprises positively, gross margins expand more quickly due to HAMR mix, and STX sees a greater AI-driven demand uplift. Cloud demand further accelerates into CY26, and HAMR's launch is successful, putting upward pressure on margins amidst market share gain. Gross margins approaching high-60% levels in FY27-28. STX sees incremental HDD demand from AI in FY26 and it is more material than expected. $1,665 represents 22.0x P/E on CY27 bull-case EPS of $75.70.

BASE CASE $1,187.00

20.0x CY27 EPS of $59.33

Gross margins expand to 60% levels and AI drives HDD demand, creating a compelling EPS story in FY26-28. The HDD market remains healthy in CY26, and AI drives a modest HDD demand uplift in FY26-28. HAMR drives gross margins to 60%+ levels and continued opex discipline, along with share buybacks, supports EPS. Our PT assumes 20.0x CY27 EPS of $59.33, with STX stock multiples trading 6.0x turns above the peak of previous HDD industry upcycle in 2021-22.

BEAR CASE $490.00

14.0x CY27 Bear-case EPS of $35.00

HDD growth decelerates, gross margins struggle to further expand, and AI-driven demand doesn't materialize. HDD demand growth turns out to be milder than expected, keeping gross margins from further expanding. eSSD starts to replace some of the HDD demand in cloud storage environments for cold data, while the HDD industry becomes less irrational and starts expanding capacity, which weigh on valuation multiples. Our bear case assumes shares trade at 14.0x on CY27 bear-case EPS of $35.00.

Risk Reward – Seagate Technology (STX.O)

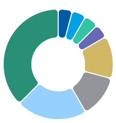
KEY EARNINGS INPUTS

Drivers	Jun 2026	Jun 2027e	Jun 2028e	Jun 2029e
Revenue Growth (Y/Y) (%)	34.1	64.9	47.6	13.5
HDD Exabyte Growth (Y/Y) (%)	32.6	30.3	20.6	4.7
Capacity Optimized Revenue Growth (Y/Y) (%)	0.0	0.0	0.0	0.0
Non-GAAP Gross Margin (%)	46.1	63.5	74.8	78.7
Non-GAAP Operating Margin (%)	36.5	57.5	70.6	74.8

INVESTMENT DRIVERS

- Positive EPS revisions as cycle strength persists and margins ramp to high-40%
- Stronger for longer cloud capex growth
- New CSP qualifications on HAMR platform
- Management accelerates buybacks

GLOBAL REVENUE EXPOSURE



- 0-10% India
- 0-10% Japan
- 0-10% MEA
- 0-10% UK
- 10-20% Europe ex UK
- 10-20% Mainland China
- 20-30% APAC, ex Japan, Mainland China and India
- 40-50% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Demand accelerates
- AI drives incremental HDD demand
- GM expands to high-50% range
- Smoother/stronger cloud cycles drive multiple expansion
- STX exhibits more pricing power
- HAMR drives share gains

RISKS TO DOWNSIDE

- Qualifications for high-capacity drives take longer than expected
- Steeper declines from cyclical markets
- GM doesn't further expand
- Pricing normalizes more than expected
- Geopolitical tensions & tariff costs

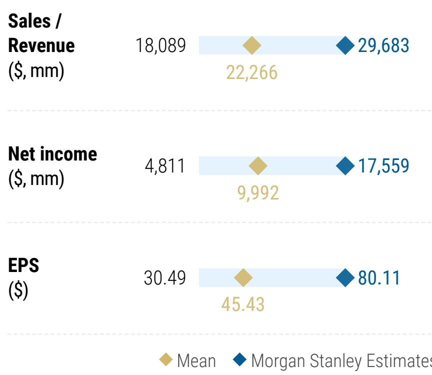
OWNERSHIP POSITIONING

Inst. Owners, % Active	55%
HF Sector Long/Short Ratio	2.1x
HF Sector Net Exposure	29.5%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2028e



Source: Refinitiv, Morgan Stanley Research

Earnings Variance

Exhibit 1: STX F4Q26 Earnings Variance

Quarterly Variance and Performance Analysis
Ticker: **STX**
Industry View: **Cautious**
Rating: **Overweight**

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F1Q27 and FY27 Expectations
Consensus (pre-call): F1Q27 revenue of $3.78B and non-GAAP EPS of $5.85, and FY27 revenue of $17.0B and non-GAAP EPS of $28.61
MS Estimate (pre-call): F1Q27 revenue of $3.81B and non-GAAP EPS of $6.11, and FY27 revenue of $18.6B and non-GAAP EPS of $35.38
Guidance: F1Q27 Revs of $4.10B +/- $100M, non-GAAP OpM ~50%, Opex of ~$300M, Effective Tax Rate of 16%, non-GAAP diluted EPS of $7.30 +/- $0.20, with Diluted Shares of ~231M.

($ Millions)	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26A	F4Q26A	F4Q26E	Delta	Variance	Q/Q Growth	Y/Y Growth	Consensus
Total Revenues (non-GAAP)	**$2,168**	**$2,325**	**$2,160**	**$2,444**	**$2,629**	**$2,825**	**$3,112**	**$3,629**	**$3,474**	**4%**	**$155**	**16.6%**	**48.5%**	**$3,497**
Cost of Revenue	**$1,445**	**$1,500**	**$1,379**	**$1,518**	**$1,575**	**$1,634**	**$1,649**	**$1,717**	**$1,741**	**-1%**	**($24)**	**4.1%**	**13.1%**	
Gross Profit	**$723**	**$825**	**$781**	**$926**	**$1,054**	**$1,191**	**$1,463**	**$1,912**	**$1,734**	**10%**	**$178**	**30.7%**	**106.5%**	**$1,747**
Gross profit margin	*33.3%*	*35.5%*	*36.2%*	*37.9%*	*40.1%*	*42.2%*	*47.0%*	*52.7%*	*49.9%*		*279bps*			*50.0%*
SG&A	$100	$103	$94	$107	$105	$103	$102	$105	$102	**3%**	$3	2.9%	-1.9%	
SG&A as % of Sales	*4.6%*	*4.4%*	*4.4%*	*4.4%*	*4.0%*	*3.6%*	*3.3%*	*2.9%*	*2.9%*		*-4bps*			
R&D	$181	$184	$180	$179	$186	$187	$194	$188	$195	**-3%**	($7)	-3.1%	5.0%	
R&D as % of Sales	*8.3%*	*7.9%*	*8.3%*	*7.3%*	*7.1%*	*6.6%*	*6.2%*	*5.2%*	*5.6%*		*-42bps*			
Total OpEx	**$281**	**$287**	**$274**	**$286**	**$291**	**$290**	**$296**	**$293**	**$296**	**-1%**	**($3)**	**-1.0%**	**2.4%**	
Operating Income	**$442**	**$538**	**$507**	**$640**	**$763**	**$901**	**$1,167**	**$1,619**	**$1,437**	**13%**	**$182**	**38.7%**	**153.0%**	
Operating margin	*20.4%*	*23.1%*	*23.5%*	*26.2%*	*29.0%*	*31.9%*	*37.5%*	*44.6%*	*41.4%*		*324bps*			
Net Interest & Other Net	($87)	($86)	($80)	($73)	($74)	($70)	($62)	($58)	($50)	16%	($8)	-6.5%	-20.5%	
Pre-tax Income	355	452	427	567	689	831	1105	1561	1388	13%	173	41.3%	175.3%	
Effective Tax rate	*5.4%*	*4.2%*	*4.7%*	*1.9%*	*15.4%*	*15.5%*	*15.5%*	*15.5%*	*16.0%*		*-0.5%*			
Net Income	**$336**	**$433**	**$407**	**$556**	**$583**	**$702**	**$934**	**$1,319**	**$1,166**	**13%**	**$153**	**41.2%**	**137.2%**	
Operating EPS	**$1.58**	**$2.03**	**$1.90**	**$2.59**	**$2.61**	**$3.11**	**$4.10**	**$5.71**	**$5.05**	**13%**	**$0.66**	**39.4%**	**120.8%**	**$5.10**
Diluted Share Count	213	213	214	215	223	226	228	231	231		0	1.3%	7.4%	
Segment Data		**F2Q25A**	**F3Q25A**	**F4Q25A**	**F1Q26A**	**F2Q26A**	**F3Q26A**	**F4Q26A**	**F4Q26E**					
Data Center Revenue	**1,582**	**1,736**	**1,615**	**1,863**	**2,114**	**2,224**	**2,500**	**2,933**	**2,774**					
Y/Y					34%	28%	55%	57%	49%					
Q/Q		10%	-7%	15%	13%	5%	12%	17%	11%					
Edge IoT Revenue	**586**	**589**	**545**	**581**	**515**	**601**	**612**	**697**	**701**					
Y/Y					-12%	2%	12%	20%	21%					
Q/Q		1%	-7%	7%	-11%	17%	2%	14%	14%					
Nearline EB	**114**	**126**	**120**	**137**	**159**	**165**	**175**	**195**	**189**					
Y/Y	104%	78%	55%	52%	39%	31%	46%	42%	38%					
Q/Q	27%	11%	-5%	14%	16%	4%	6%	11%	8%					
Non-Nearline EB	**24**	**25**	**24**	**25**	**23**	**25**	**24**	**23**	**26**					
Y/Y	-29%	3%	10%	4%	-4%	0%	0%	-8%	3%					
Q/Q	0%	4%	-4%	4%	-8%	9%	-4%	-4%	7%					
Balance Sheet/Return Metrics		**F2Q25A**	**F3Q25A**	**F4Q25A**	**F1Q26A**	**F2Q26A**	**F3Q26A**	**F4Q26A**	**F4Q26E**			**Q/Q**	**Y/Y**	
Inventory Turns	4.2	4.1	3.7	4.2	4.2	4.4	4.3	4.4	4.4			**=**	**=**	
Days Sales	26.6	23.2	25.9	45.0	37.5	40.6	34.6	45.0	45.0			**+**	**=**	
Days Payable	113.2	96.1	95.7	96.2	97.7	99.7	92.5	92.6	98.0			**=**	**-**	
Days Inventory	88.1	90.3	96.1	86.3	87.4	84.3	83.5	83.3	82.0			**-**	**-**	
Cash Conversion	**1.5**	**17.5**	**26.2**	**35.2**	**27.2**	**25.2**	**25.7**	**35.6**	**29.0**			**+**	**=**	
ROE	-22.5%	-33.3%	-37.7%	-67.1%	-128.7%	-1114.3%	203.5%	120.5%	106.4%			**-**	**+**	
ROA	2.3%	3.7%	4.9%	5.6%	6.2%	7.1%	9.2%	11.0%	10.5%			**=**	**=**	
CFO	95	221	259	508	532	723	1,114	1,305	1,003			**+**	**+**	
Capex	(68)	(71)	(43)	(83)	(105)	(116)	(161)	(187)	(174)			**-**	**-**	
FCF	**27**	**150**	**216**	**425**	**427**	**607**	**953**	**1,118**	**829**			**+**	**+**	
Cash and cash equivalents	1,239	1,238	814	891	1,112	1,046	1,146	1,704	1,010			**+**	**+**	
D&A	64	63	63	61	72	68	66	70	105					
		F2Q25A	**F3Q25A**	**F4Q25A**	**F1Q26A**	**F2Q26A**	**F3Q26A**	**F4Q26A**	**F4Q26E**					
Price Per Exabyte	15.7	15.4	15.0	15.1	14.4	14.9	15.6	16.6	16.2					
% Change Y/Y	-3.2%	-5.7%	-10.2%	-8.7%	-8.1%	-3.4%	4.3%	10.3%	7.3%					
% Change Q/Q	-4.9%	-2.0%	-2.6%	0.6%	-4.3%	2.9%	5.2%	6.4%	3.5%					
Cost Per Exabyte	10.5	9.9	9.6	9.4	8.7	8.6	8.3	7.9	8.1					
% Change Y/Y	-19.5%	-20.4%	-22.4%	-17.9%	-17.4%	-13.4%	-13.5%	-15.9%	-13.5%					
% Change Q/Q	-8.3%	-5.1%	-3.6%	-2.2%	-7.6%	-0.6%	-3.6%	-5.0%	-2.1%					
STX EB shipped	**138.0**	**151.0**	**144.0**	**162.0**	**182.0**	**190.0**	**199.0**	**218.0**	**214.7**					
Y/Y Growth	54.0%	58.6%	45.3%	41.9%	31.9%	25.8%	38.2%	34.6%	32.5%					

Source: Company data, FactSet, Morgan Stanley Research estimates

Financial Model

Exhibit 2: Seagate Technology Income Statement

	F2026A				F2027E				F2028E								
($ in millions)	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	2025A	2026A	2027E	2028E	2029E
Revenues	2,629	2,825	3,112	3,629	4,168	4,740	5,232	5,972	6,422	7,075	7,660	8,526	9,097	12,195	20,112	29,683	33,703
Data Center	2,114	2,224	2,500	2,933	3,392	3,877	4,398	5,053	5,551	6,115	6,770	7,591	6,796	9,771	16,720	26,027	29,900
Edge IoT	515	601	612	697	776	863	834	919	871	960	890	935	2,301	2,425	3,392	3,657	3,803
Cost of Revenue	1,575	1,634	1,649	1,717	1,758	1,825	1,847	1,906	1,858	1,868	1,847	1,897	5,842	6,575	7,335	7,469	7,169
Gross Profit	1,054	1,191	1,463	1,912	2,410	2,915	3,385	4,067	4,564	5,208	5,814	6,629	3,255	5,620	12,777	22,215	26,534
Gross Margin	40.1%	42.2%	47.0%	52.7%	57.8%	61.5%	64.7%	68.1%	71.1%	73.6%	75.9%	77.8%	35.8%	46.1%	63.5%	74.8%	78.7%
Incremental Margin	71.8%	73.2%	71.6%	83.2%	88.1%	90.0%	90.7%	91.9%	95.6%	98.2%	100.0%	100.4%	62.3%	76.3%	90.4%	98.6%	107.4%
Operating Expenses	291	290	296	293	302	303	306	308	311	315	318	320	1,128	1,170	1,219	1,264	1,314
Product development	186	187	194	188	194	194	196	197	202	205	207	209	724	755	781	823	859
SG&A	105	103	102	105	108	109	110	110	109	110	111	111	404	415	438	441	455
Income from Operations (PTOP)	763	901	1,167	1,619	2,108	2,612	3,079	3,759	4,253	4,893	5,496	6,310	2,127	4,450	11,558	20,951	25,219
PTOP Margin	29.0%	31.9%	37.5%	44.6%	50.6%	55.1%	58.8%	62.9%	66.2%	69.2%	71.7%	74.0%	23.4%	36.5%	57.5%	70.6%	74.8%
Total Interest Income (expense), net	(74)	(70)	(62)	(58)	(47)	(28)	(16)	(16)	(13)	(13)	(11)	(9)	(326)	(264)	(106)	(47)	4
Operating Income Before Taxes	689	831	1,105	1,561	2,061	2,584	3,063	3,743	4,239	4,880	5,485	6,300	1,801	4,186	11,451	20,904	25,224
GAAP Income Tax Provision	65	114	116	211	330	413	490	599	678	781	878	1,008	44	506	1,832	3,345	4,036
Recurring Tax Provision	106	129	171	242	330	413	490	599	678	781	878	1,008	69	648	1,832	3,345	4,036
Effective Tax Rate	15.4%	15.5%	15.5%	15.5%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%	3.8%	15.5%	16.0%	16.0%	16.0%
Operating Net Income	583	702	934	1,319	1,731	2,171	2,573	3,144	3,561	4,099	4,607	5,292	1,732	3,538	9,619	17,559	21,188
Operating Net Income Margin	22.2%	24.8%	30.0%	36.3%	41.5%	45.8%	49.2%	52.6%	55.5%	57.9%	60.1%	62.1%	19.0%	29.0%	47.8%	59.2%	62.9%
One-Time Charges/ Adjustments	34	109	186	25	64	73	80	91	98	107	116	129	263	354	307	450	510
Total One-time, gross	75	124	241	56	64	73	80	91	98	107	116	129	288	496	307	450	510
Reported Income Before Taxes	614	707	864	1,505	1,997	2,512	2,983	3,653	4,142	4,772	5,369	6,171	1,513	3,690	11,144	20,454	24,714
GAAP Net Income	549	593	748	1,294	1,667	2,098	2,493	3,054	3,463	3,992	4,491	5,163	1,469	3,184	9,312	17,109	20,679
Stock Option Expense	52	53	54	54	62	71	78	89	96	105	114	127	200	213	299	442	502
Tax Benefit on Stock Option Expense	3	3	3	3	3	4	4	4	5	5	6	6	10	11	15	22	25
Stock Option Expense Per Share	$0.22	$0.22	$0.23	$0.22	$0.26	$0.29	$0.32	$0.37	$0.40	$0.45	$0.50	$0.56	$0.89	$0.89	$1.24	$1.91	$2.33
Operating Net Income (pre-stock options)	632	752	985	1,370	1,790	2,238	2,647	3,229	3,652	4,199	4,715	5,413	1,922	3,740	9,903	17,979	21,665
Fully-diluted EPS																	
EPS - ModelWare	$2.61	$3.11	$4.10	$5.71	$7.50	$9.39	$11.21	$13.85	$15.89	$18.54	$21.16	$24.75	$8.10	$15.59	$41.89	$80.11	$103.75
EPS - Reported	$2.46	$2.62	$3.28	$5.60	$7.22	$9.08	$10.86	$13.45	$15.45	$18.05	$20.63	$24.15	$6.87	$14.03	$40.55	$78.06	$101.26
EPS - ModelWare excl. Stock Option Exper	$2.84	$3.33	$4.32	$5.93	$7.76	$9.68	$11.53	$14.22	$16.29	$18.99	$21.66	$25.32	$8.99	$16.48	$43.12	$82.03	$106.09
Dividend Payment	157	158	161	166	172	173	173	171	174	172	169	166	604	669	676	652	623
Dividend Per Share	$0.74	$0.74	$0.74	$0.74	$0.76	$0.76	$0.76	$0.76	$0.79	$0.79	$0.79	$0.79	$2.86	$2.96	$3.05	$3.14	$3.23
Period Ending Outstanding Shares	214	218	224	226	228	227	224	222	219	216	212	208	212	226	222	208	193
Avg Shares (Basic)	214	216	221	225	227	227	226	223	220	217	214	210	212	219	226	215	200
Avg Shares (Fully Diluted)	223	226	228	231	231	231	230	227	224	221	218	214	214	227	230	219	204

Source: Company data, Morgan Stanley Research estimates

Exhibit 3: Seagate Technology Income Statement Analysis

($ in millions)	F2026A Sep-25	F2026A Dec-25	F2026A Mar-26	F2026A Jun-26	F2027E Sep-26	F2027E Dec-26	F2027E Mar-27	F2027E Jun-27	F2028E Sep-27	F2028E Dec-27	F2028E Mar-28	F2028E Jun-28	2025A	2026A	2027E	2028E	2029E
Margin Analysis																	
Gross Margin	**40.1%**	**42.2%**	**47.0%**	**52.7%**	**57.8%**	**61.5%**	**64.7%**	**68.1%**	**71.1%**	**73.6%**	**75.9%**	**77.8%**	**35.8%**	**46.1%**	**63.5%**	**74.8%**	**78.7%**
Data Center	43.7%	45.5%	50.2%	54.5%	59.0%	63.0%	66.1%	69.6%	72.7%	75.3%	77.5%	79.3%	41.1%	49.0%	65.0%	76.5%	80.4%
Edge IoT	25.4%	29.7%	33.9%	45.0%	52.5%	55.0%	57.5%	59.8%	61.0%	62.5%	63.7%	65.0%	20.1%	34.3%	56.3%	63.1%	65.6%
Product Development	7.1%	6.6%	6.2%	5.2%	4.7%	4.1%	3.8%	3.3%	3.2%	2.9%	2.7%	2.5%	8.0%	6.2%	3.9%	2.8%	2.6%
SG&A	4.0%	3.6%	3.3%	2.9%	2.6%	2.3%	2.1%	1.9%	1.7%	1.6%	1.5%	1.3%	4.4%	3.4%	2.2%	1.5%	1.4%
Operating Expenses	11.1%	10.3%	9.5%	8.1%	7.3%	6.4%	5.9%	5.2%	4.9%	4.5%	4.2%	3.8%	12.4%	9.6%	6.1%	4.3%	3.9%
EBITDA Margin	31.8%	34.3%	39.6%	46.5%	52.4%	56.9%	60.6%	64.9%	67.5%	70.4%	72.9%	75.1%	26.1%	38.8%	59.3%	71.8%	76.3%
PTOP Margin	29.0%	31.9%	37.5%	44.6%	50.6%	55.1%	58.8%	62.9%	66.2%	69.2%	71.7%	74.0%	23.4%	36.5%	57.5%	70.6%	74.8%
Pretax Margin	26.2%	29.4%	35.5%	43.0%	49.4%	54.5%	58.5%	62.7%	66.0%	69.0%	71.6%	73.9%	19.8%	34.3%	56.9%	70.4%	74.8%
Net Income	22.2%	24.8%	30.0%	36.3%	41.5%	45.8%	49.2%	52.6%	55.5%	57.9%	60.1%	62.1%	19.0%	29.0%	47.8%	59.2%	62.9%
Year-Over-Year Growth (%)																	
Revenue	**21.3%**	**21.5%**	**44.1%**	**48.5%**	**58.5%**	**67.8%**	**68.1%**	**64.6%**	**54.1%**	**49.3%**	**46.4%**	**42.8%**	**38.9%**	**34.1%**	**64.9%**	**47.6%**	**13.5%**
Data Center	33.6%	28.1%	54.8%	57.4%	60.5%	74.3%	75.9%	72.3%	63.6%	57.7%	53.9%	50.2%		43.8%	71.1%	55.7%	14.9%
Edge IoT	-12.1%	2.0%	12.3%	19.9%	50.6%	43.6%	36.3%	32.0%	12.3%	11.2%	6.7%	1.7%		5.4%	39.9%	7.8%	4.0%
Gross Margin	45.8%	44.4%	87.3%	106.5%	128.7%	144.8%	131.4%	112.7%	89.4%	78.6%	71.8%	63.0%	94.9%	72.7%	127.3%	73.9%	19.4%
Product Development	2.8%	1.6%	7.8%	5.0%	4.2%	3.9%	1.1%	4.8%	4.4%	5.6%	5.4%	6.0%	10.7%	4.3%	3.5%	5.3%	4.4%
SG&A	5.0%	0.0%	8.5%	-1.9%	3.2%	5.8%	7.7%	5.2%	0.7%	0.6%	1.1%	0.3%	19.2%	2.7%	5.5%	0.7%	3.2%
Operating Expenses	**3.6%**	**1.0%**	**8.0%**	**2.4%**	**3.8%**	**4.6%**	**3.4%**	**5.0%**	**3.1%**	**3.8%**	**3.9%**	**3.9%**	**13.6%**	**3.7%**	**4.2%**	**3.7%**	**4.0%**
PTOP	72.6%	67.5%	130.2%	153.0%	176.3%	189.9%	163.8%	132.2%	101.7%	87.3%	78.5%	67.8%	214.2%	109.2%	159.7%	81.3%	20.4%
EBT	94.1%	83.8%	158.8%	175.3%	199.1%	211.0%	177.2%	139.8%	105.7%	88.8%	79.1%	68.3%	440.8%	132.4%	173.6%	82.5%	20.7%
Net Income	73.5%	62.1%	129.5%	137.2%	196.9%	209.2%	175.5%	138.4%	105.7%	88.8%	79.1%	68.3%	536.8%	104.3%	171.9%	82.5%	20.7%
ModelWare EPS	**65.7%**	**52.8%**	**115.4%**	**120.8%**	**187.0%**	**202.3%**	**173.5%**	**142.5%**	**111.8%**	**97.4%**	**88.9%**	**78.8%**	**527.8%**	**92.3%**	**168.7%**	**91.3%**	**29.5%**
Sequential Growth (%)																	
Revenue	**7.6%**	**7.5%**	**10.2%**	**16.6%**	**14.9%**	**13.7%**	**10.4%**	**14.2%**	**7.5%**	**10.2%**	**8.3%**	**11.3%**					
Data Center	13.5%	5.2%	12.4%	17.3%	15.7%	14.3%	13.4%	14.9%	9.8%	10.2%	10.7%	12.1%					
Edge IoT	-11.4%	16.7%	1.8%	13.8%	11.4%	11.3%	-3.4%	10.3%	-5.2%	10.2%	-7.3%	5.1%					
Gross Margin	13.8%	13.0%	22.8%	30.7%	26.1%	21.0%	16.1%	20.1%	12.2%	14.1%	11.6%	14.0%					
Product Development	3.9%	0.5%	3.7%	-3.1%	3.1%	0.3%	1.0%	0.5%	2.6%	1.4%	0.8%	1.0%					
SG&A	-1.9%	-1.9%	-1.0%	2.9%	3.2%	0.6%	0.8%	0.6%	-1.2%	0.5%	1.3%	-0.2%					
Operating Expenses	**1.7%**	**-0.3%**	**2.1%**	**-1.0%**	**3.1%**	**0.4%**	**0.9%**	**0.5%**	**1.3%**	**1.1%**	**1.0%**	**0.6%**					
PTOP Margin	19.2%	18.1%	29.5%	38.7%	30.2%	23.9%	17.9%	22.1%	13.1%	15.0%	12.3%	14.8%					
Pretax Margin	21.5%	20.6%	33.0%	41.3%	32.0%	25.4%	18.5%	22.2%	13.2%	15.1%	12.4%	14.9%					
Net Income	4.9%	20.4%	33.0%	41.2%	31.2%	25.4%	18.5%	22.2%	13.2%	15.1%	12.4%	14.9%					
ModelWare EPS	**1.1%**	**18.8%**	**31.9%**	**39.4%**	**31.4%**	**25.2%**	**19.3%**	**23.6%**	**14.7%**	**16.7%**	**14.2%**	**17.0%**					

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: Seagate Technology Balance Sheet

($ in millions)	F2026A				F2027E				F2028E								
	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	2025A	2026A	2027E	2028E	2029E
Assets																	
Current Assets:																	
Cash and cash equivalents	1,112	1,046	1,146	1,704	1,290	1,424	1,446	1,444	1,500	1,816	2,091	2,468	891	1,704	1,444	2,468	5,370
Short-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounts receivable, net	1,073	1,246	1,197	1,534	1,404	1,752	2,035	2,100	2,164	2,615	2,946	2,998	959	1,534	2,100	2,998	3,404
Affiliate accounts receivable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Inventories	1,496	1,498	1,530	1,571	1,701	1,706	1,703	1,717	1,797	1,746	1,684	1,709	1,440	1,571	1,717	1,709	1,641
Other current assets	351	419	426	412	458	521	575	657	747	824	892	992	363	412	657	992	1,127
Total Current Assets	**4,032**	**4,209**	**4,299**	**5,221**	**4,854**	**5,402**	**5,759**	**5,919**	**6,209**	**7,000**	**7,613**	**8,168**	**3,653**	**5,221**	**5,919**	**8,168**	**11,542**
Property, equipment and leasehold improvements, ne	1,688	1,771	1,852	2,034	2,166	2,317	2,475	2,629	2,818	3,032	3,270	3,541	1,657	2,034	2,629	3,541	4,461
Goodwill	1,221	1,221	1,221	1,221	1,221	1,221	1,221	1,221	1,221	1,221	1,221	1,221	1,221	1,221	1,221	1,221	1,221
Intangible assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Assets, net	1,501	1,507	1,520	1,496	1,496	1,496	1,496	1,496	1,496	1,496	1,496	1,496	1,492	1,496	1,496	1,496	1,496
Total Assets	**8,442**	**8,708**	**8,892**	**9,972**	**9,736**	**10,436**	**10,950**	**11,264**	**11,743**	**12,749**	**13,600**	**14,426**	**8,023**	**9,972**	**11,264**	**14,426**	**18,720**
Liabilities																	
Current Liabilities:																	
Accounts payable	1,673	1,771	1,694	1,748	1,834	1,904	1,990	2,031	1,938	1,949	1,968	2,022	1,604	1,748	2,031	2,022	1,941
Affiliate accounts payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accrued employee compensation	212	253	308	377	103	106	108	111	60	60	60	61	352	377	111	61	59
Accrued deferred compensation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accrued expenses	673	673	771	744	760	763	750	742	698	672	634	615	632	744	742	615	528
Accrued warranty	63	66	70	73	208	237	262	299	321	354	383	426	60	73	299	426	484
Accrued income taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Current portion of l-t debt & s-t debt	1,496	998	398	185	185	185	185	185	185	185	185	185	-	185	185	185	185
Total Current Liabilities	**4,117**	**3,761**	**3,241**	**3,127**	**3,091**	**3,195**	**3,295**	**3,367**	**3,203**	**3,220**	**3,230**	**3,309**	**2,648**	**3,127**	**3,367**	**3,309**	**3,197**
Long Term Liabilities																	
Accrued warranty	83	94	109	125	250	284	314	358	385	425	460	512	77	125	358	512	581
Other liabilities	807	893	982	1,173	721	766	753	730	759	786	758	731	756	1,173	730	731	711
Long-term debt, less current portion	3,498	3,501	3,465	3,380	2,194	1,463	1,463	1,313	1,313	1,313	1,313	1,113	4,995	3,380	1,313	1,113	913
Total Long Term Liabilities	**4,388**	**4,488**	**4,556**	**4,678**	**3,165**	**2,513**	**2,530**	**2,402**	**2,457**	**2,523**	**2,530**	**2,356**	**5,828**	**4,678**	**2,402**	**2,356**	**2,204**
Total Liabilities	**8,505**	**8,249**	**7,797**	**7,805**	**6,256**	**5,709**	**5,825**	**5,769**	**5,660**	**5,743**	**5,760**	**5,665**	**8,476**	**7,805**	**5,769**	**5,665**	**5,401**
Total Stockholder's Equity	**(63)**	**459**	**1,095**	**2,167**	**3,480**	**4,727**	**5,125**	**5,495**	**6,083**	**7,006**	**7,840**	**8,761**	**(453)**	**2,167**	**5,495**	**8,761**	**13,318**
Total Liabilities and Stockholder's Equity	**8,442**	**8,708**	**8,892**	**9,972**	**9,736**	**10,436**	**10,950**	**11,264**	**11,743**	**12,749**	**13,600**	**14,426**	**8,023**	**9,972**	**11,264**	**14,426**	**18,720**

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: Seagate Technology Statement of Cash Flows

($ in millions)	F2026A				F2027E				F2028E									
	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	2025A	2026A	2027E	2028E	2029E	2030E
Cash Flow Statement (Non Cumulative)																		
Operating activities:																		
Net Income / (Loss)	549	593	748	1,294	1,667	2,098	2,493	3,054	3,463	3,992	4,491	5,163	1,469	3,184	9,312	17,109	20,679	21,463
Depreciation and Amortization	72	68	66	70	77	86	93	115	84	86	88	91	251	276	371	349	513	567
Stock based compensation incl. accelerated vesting charges	52	53	54	54	62	71	78	89	96	105	114	127	200	213	299	442	502	506
Deferred income taxes	(25)	3	(11)	(1)	-	-	-	-	-	-	-	-	(8)	(34)	-	-	-	-
In-process research and development charge	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Non-cash portion of restructuring charge	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Deferred compensation charge	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Debt refinancing charges	-	-	-	-	-	-	-	-	-	-	-	-	7	-	-	-	-	-
Excess tax benefit from stock options	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other, net	15	86	84	9	-	-	-	-	-	-	-	-	129	194	-	-	-	-
Changes in Operating Assets and Liabilities:																0		
Accounts receivable	(114)	(173)	49	(337)	130	(347)	(283)	(66)	(64)	(451)	(331)	(52)	(513)	(575)	(566)	(898)	(406)	(29)
Inventories	(56)	(2)	(32)	(41)	(130)	(5)	2	(14)	(80)	51	62	(25)	(201)	(131)	(146)	8	68	142
Accounts payable	84	78	(73)	(23)	86	70	86	41	(93)	11	19	53	(242)	66	283	(10)	(81)	(168)
Accrued employee compensation	(140)	32	46	59	(450)	115	30	53	(16)	73	(2)	52	207	(3)	(252)	106	17	(112)
Accrued expenses, income taxes and warranty	119	(149)	376	182	-	-	-	-	-	-	-	-	(95)	528	-	-	-	-
Accrued deferred compensation	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other assets and liabilities	(24)	134	(193)	39	(46)	(63)	(54)	(81)	(91)	(76)	(68)	(101)	(121)	(44)	(245)	(335)	(134)	(9)
Net Cash Provided by Operating Activities	**532**	**723**	**1,114**	**1,305**	**1,396**	**2,024**	**2,446**	**3,190**	**3,300**	**3,790**	**4,373**	**5,308**	**1,083**	**3,674**	**9,055**	**16,771**	**21,157**	**22,359**
Investing activities:																		
Acquisition of property, equipment and leasehold improvement	(105)	(116)	(161)	(187)	(208)	(237)	(251)	(269)	(273)	(301)	(326)	(362)	(265)	(569)	(965)	(1,262)	(1,432)	(1,444)
Proceeds from sale of PPE	15	-	-	-	-	-	-	-	-	-	-	-	1	15	-	-	-	-
Maturities and sales of short-term investments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchases of short-term investments	-	-	(2)	-	-	-	-	-	-	-	-	-	-	(2)	-	-	-	-
Acquisition, net of cash and cash equiv.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Purchase of rigid disc drive operating assets and liabilities, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Restricted cash (TRA)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from sale of certain investments	-	-	-	31	-	-	-	-	-	-	-	-	51	31	-	-	-	-
Sale of XIOtech, net of repayment of intercompany debt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Sale of Reynosa facility	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other, net	-	-	-	-	-	-	-	-	-	-	-	-	(63)	-	-	-	-	-
Net cash used in investing activities	**(90)**	**(116)**	**(163)**	**(156)**	**(208)**	**(237)**	**(251)**	**(269)**	**(273)**	**(301)**	**(326)**	**(362)**	**(276)**	**(525)**	**(965)**	**(1,262)**	**(1,432)**	**(1,444)**
Financing activities:																		
Issuance of long-term debt, net of issuance costs	-	-	-	-	-	-	-	-	-	-	-	-	400	-	-	-	-	-
Repayment of long-term debt, including extinguishments of de	(11)	(489)	(642)	(300)	(1,186)	(731)	-	(150)	-	-	-	(200)	(1,078)	(1,442)	(2,067)	(200)	(200)	(200)
Redemption premium on 12½% senior notes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Issuance of common shares (2003 - in initial public offering)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash used to repurchase stock	(29)	-	(30)	(117)	(250)	(750)	(2,000)	(2,600)	(2,800)	(3,000)	(3,600)	(4,200)	-	(176)	(5,600)	(13,600)	(16,000)	(16,000)
Proceeds from exercise of employee stock options and employ	22	5	27	2	0	0	0	0	0	0	0	0	72	56	1	1	1	1
Distributions to shareholders	(153)	(154)	(161)	(166)	(166)	(172)	(173)	(173)	(171)	(174)	(172)	(169)	(600)	(634)	(684)	(686)	(623)	(597)
Excess tax benefit from stock options	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other, net	(50)	(35)	(46)	(10)	-	-	-	-	-	-	-	-	(68)	(141)	-	-	-	-
Net Cash used in Financing Activities	**(221)**	**(673)**	**(852)**	**(591)**	**(1,601)**	**(1,653)**	**(2,173)**	**(2,923)**	**(2,971)**	**(3,174)**	**(3,771)**	**(4,569)**	**(1,274)**	**(2,337)**	**(8,350)**	**(14,485)**	**(16,823)**	**(16,796)**
Increase/(decrease) in Cash and Cash Equivalents	**221**	**(66)**	**99**	**558**	**(414)**	**134**	**22**	**(2)**	**56**	**316**	**276**	**377**	**(467)**	**812**	**(260)**	**1,024**	**2,902**	**4,118**
Cash and Cash Equivalents at Beginning of Period	893	1,114	1,048	1,147	1,705	1,291	1,425	1,447	1,445	1,501	1,817	2,092	1,360	893	1,705	1,445	2,469	5,371
Cash, Cash Equivalents & Restricted Cash at End of Period	**1,114**	**1,048**	**1,147**	**1,705**	**1,291**	**1,425**	**1,447**	**1,445**	**1,501**	**1,817**	**2,092**	**2,469**	**893**	**1,705**	**1,445**	**2,469**	**5,371**	**9,490**
Restricted Cash	2	2	1	1	1	1	1	1	1	1	1	1	2	1	1	1	1	1
Change in Restricted Cash	-	-	(1)	-	-	-	-	-	-	-	-	-	-	(1)	-	-	-	-
Cash and Cash Equivalents at End of Period	1,112	1,046	1,146	1,704	1,290	1,424	1,446	1,444	1,500	1,816	2,091	2,468	891	1,704	1,444	2,468	5,370	9,489

Source: Company data, Morgan Stanley Research estimates

Valuation Methodology and Risks

Western Digital (WDC.O)

Our PT implies 20.0x CY27 EPS of $27.12, as we expect earnings upward revisions by the Street with shares trading on par with STX at 6.0x turns above the peak multiples (14.0x) in the previous industry upcycle.

Risks to Upside

- Demand accelerates
- AI drives incremental HDD demand
- Smoother cloud cycles drive multiple expansion
- WDC exhibits more pricing power
- HAMR qualification/volume shipment timeline earlier than expected

Risks to Downside

- GM doesn't further expand
- Pricing normalizes more than expected
- Geopolitical tensions & tariff impacts
- Competitive pressures & HAMR timeline delays
- Dilution from converts more significant than expected

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

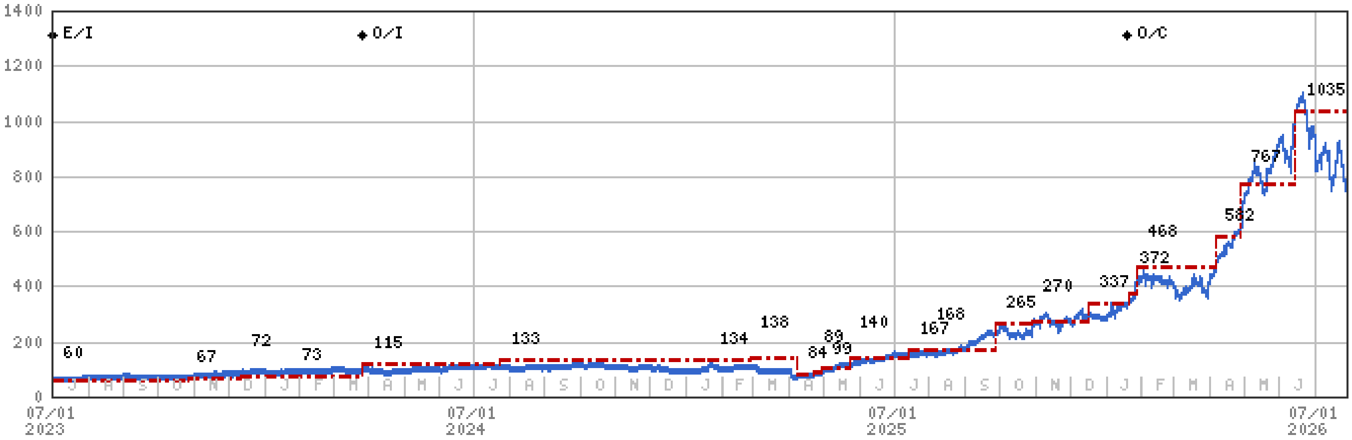
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Seagate Technology (STX.O) - As of 07/29/26 GMT in USD
Industry : IT Hardware



Stock Rating History: 7/1/21 : O/I; 10/5/21 : E/C; 1/18/23 : O/I; 4/21/23 : E/I; 3/26/24 : O/I; 1/20/26 : O/C

Price Target History: 6/8/21 : 114; 7/21/21 : 118; 10/5/21 : 88; 10/22/21 : 94; 1/26/22 : 101; 3/30/22 : 99; 4/27/22 : 95; 7/14/22 : 89; 7/21/22 : 84; 8/31/22 : 70; 10/17/22 : 57; 10/26/22 : 54; 1/18/23 : 69; 1/26/23 : 72; 4/21/23 : 60; 10/26/23 : 67; 12/12/23 : 72; 1/25/24 : 73; 3/26/24 : 115; 7/24/24 : 133; 1/21/25 : 134; 2/26/25 : 138; 4/8/25 : 84; 4/22/25 : 89; 4/29/25 : 99; 5/23/25 : 140; 7/14/25 : 167; 7/29/25 : 168; 9/28/25 : 265; 10/29/25 : 270; 12/17/25 : 337; 1/22/26 : 372; 1/28/26 : 468; 4/6/26 : 582; 4/28/26 : 767; 6/15/26 : 1035

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target -·   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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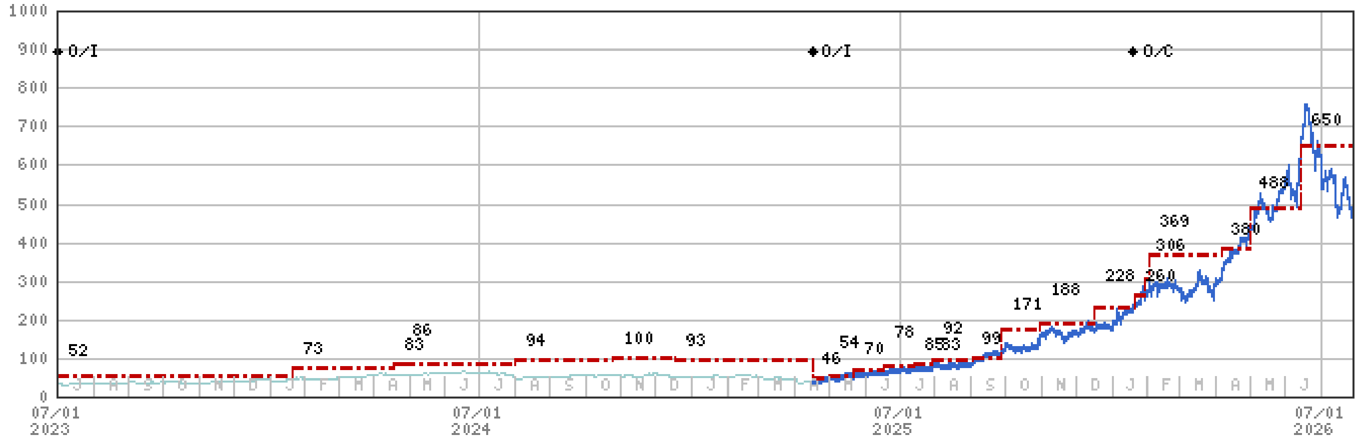
Western Digital (WDC.O) - As of 07/29/26 GMT in USD
Industry : IT Hardware



Stock Rating History: 7/1/21 : O/I; 10/5/21 : O/C; 1/18/23 : O/I; 4/16/25 : O/I; 1/20/26 : O/C

Price Target History: 4/30/21 : 88; 10/28/21 : 82; 1/28/22 : 71; 8/7/22 : 65; 10/24/22 : 52; 1/21/24 : 73; 4/18/24 : 83; 4/26/24 : 86; 8/1/24 : 94; 10/25/24 : 100; 12/19/24 : 93; 4/16/25 : 46; 5/1/25 : 54; 5/22/25 : 70; 6/17/25 : 78; 7/14/25 : 85; 7/28/25 : 83; 7/30/25 : 92; 9/2/25 : 99; 9/28/25 : 171; 10/31/25 : 188; 12/17/25 : 228; 1/22/26 : 260; 1/30/26 : 306; 2/3/26 : 369; 4/6/26 : 380; 5/1/26 : 488; 6/15/26 : 650

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: IT Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/28/2026)
Erik W Woodring		
Apple, Inc. (AAPL.O)	O (05/26/2009)	$340.08
CDW Corporation (CDW.O)	O (06/23/2026)	$144.03
Cricut Inc (CRCT.O)	U (08/12/2021)	$4.70
Dell Technologies Inc. (DELL.N)	E (06/01/2026)	$392.10
Everpure, Inc. (P.N)	E (06/11/2024)	$72.99
Garmin Ltd (GRMN.N)	E (02/18/2026)	$253.65
GoPro Inc (GPRO.O)	U (12/12/2023)	$0.72
Hewlett Packard Enterprise (HPE.N)	E (11/16/2025)	$45.59
HP Inc. (HPQ.N)	U (11/16/2025)	$28.29
IBM (IBM.N)	E (01/18/2023)	$227.55
Ingram Micro (INGM.N)	E (06/11/2025)	$30.07
Kornit Digital Ltd. (KRNT.O)	E (11/06/2025)	$15.28
Logitech International SA (LOGI.O)	U (01/20/2026)	$111.66
NetApp Inc (NTAP.O)	U (01/20/2026)	$174.53
Resideo Technologies Inc (REZI.N)	O (08/11/2025)	$36.65
Seagate Technology (STX.O)	O (03/26/2024)	$747.30
SmartRent, Inc. (SMRT.N)	++	$1.00
Sonos Inc. (SONO.O)	E (11/06/2025)	$16.80
TD Synnex Corporation (SNX.N)	O (06/11/2025)	$247.18
Teradata (TDC.N)	O (04/08/2025)	$29.19
Western Digital (WDC.O)	O (04/16/2025)	$463.51
Sanjit K Singh		
Nutanix Inc (NTNX.O)	E (01/12/2026)	$59.05

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.